

Unit-9

Promotion Decisions

Concept and objectives of promotion.

Promotion mix components.

Promotion mix determination factors.

Advertising: Nature and objectives.

Nature and process of personal selling.

Nature and objectives of sales promotions. Sales promotion tools and techniques.

Nature, objectives and tools of public relations.

Concept and methods of direct marketing.

Promotion practice in Nepal

Concept

- Marketing promotions are tools that help companies communicate with customers and inform them about a product.
- In other words, promotion includes all the activities the company undertakes to communicate and promote its products to the target markets.
- It is the most important elements of marketing mix.
- Customers do not accept products unless they are convinced about the use and features of the product offered. So promotion is an attempt to influence them positively.
- Since promotion positively influence the sales and distribution of products almost every business firm conduct promotional activities in today's day, so the modern age of marketing is thus also called the age of promotion.

Objectives of Promotion (function)

1. Informing: promotion provide information about the use, benefits and features of the product. If a new product is to be launched in future by the manufacturer, this information also may be pre informed to the consumers.
2. Persuading: only by informing consumers about the products, they may not be influenced towards the products. In order to influence them, the manufacturer must kindly persuade or appeal them to use his products.
3. Reminding: customers will not always be familiar with the products and services. Similarly, competitors will also be offering the same types of products and services. If the customers are not reminded, then they will be attracted to the competitor's products and services. So promotion help to remind the customers about the presence of products in the market.
4. Entertaining: customers today are not influenced much by a plain communication and persuasion. They seek some entertainment value in the process of communication and persuasion. The objective of promotion is to present the product in a beautiful and entertaining way by using music, dance, song, arts, dramas, attractive figures or combination of all.
5. Re-enforcing: when either of the above mentioned objectives becomes ineffective or less

effective, marketers usually re-enforce the customer to buy goods. It is a form of psychological pressure that compels the customers to make purchase or repurchase the products.

Promotion mix components (Tools)

- Promotion mix is the particular combination of promotion tools used by a company to communicate with its audiences.
 - a. Advertising: Advertising is a promotional activities which aims to sell a product or services to a target audience. It involve a variety of media including radio, television, newspaper, magazines, motion pictures, brochures and booklets, posters and leaflets, audio-visual materials, symbols and logos etc.
 - b. Personal selling: Personal selling is a face-to-face selling technique by which a salesperson uses his or her interpersonal skills to persuade a customer in buying a particular product. It provide individual attention for each consumer and passes along a lot of information.
 - c. Sales promotion: Sales promotion is a marketing technique used by organization to stimulate consumer demand for a product or service. This can include discounts, coupons, contests, samples, or any other type of incentive that encourages people to purchase a product or service.

- d. Public relation: Public relations is a strategic communication process that builds mutually beneficial relationships between organizations and their publics. It is a new philosophy in communication system. Organization accepting this philosophy tend to gain good image in society and seek acceptance from the publics.
- e. Direct marketing: Direct marketing is a type of marketing that involves communicating directly with customers and potential customers in order to promote products and services. Direct marketing can be conducted in various ways, including email, text messages, catalogs, phone calls, and direct mail. It is done without middlemen.

Factors affecting determination of promotion mix

- 1. Nature of the market:** the determination of a particular types of promotion is done on the basis of the nature of market.
 - Geographic Coverage: personal selling or face to face selling may be effective in a small local market, but for a mass market, advertising becomes necessary.

- Types of customer: middlemen and final consumers both purchase the product. But they require different promotional technique to attract their attention. Personal selling for middlemen and advertisement for consumer.
- Market concentration: it refers to the total number of prospective buyers in the particular area. If the market is highly concentrated, it requires advertising and public relation. The fewer potential buyers there are, then personal selling is effective.

2. Product factors:

- Unit value: high expensive products usually requires personal selling because these products are relatively complex and involve high risk (jewelry). For, less expensive products, advertising is effective.
- Nature of product: perishable products and technical nature of products are required personal selling. Non-perishable and general products required advertisement.
- Pre-sale and post-sale service: product which require pre-sale and post-sale services, it need to be promoted through personal selling because frequent

servicing is required to keep them in good condition.

3. Stage of the product life cycle:

- Introduction stage: for potential customer it require advertising, sales promotion and for middlemen it require personal selling and sales promotion.
- Growth and maturity stage: it need emphasis on sales promotion, advertising is done to support sales promotion.
- Declines stage: need not invest in any forms of promotion.

4. Availability of fund: advertising requires ample financial resource. It is an expensive activity. Effectiveness of promotional strategy largely depends upon how much a marketer spends in it. Once adequate funds are spent in promotion, it may build up a good product and company image for a long period.

5. Promotional strategy:

- Push strategy: in this, the promotional program is directed at middlemen. The manufacturer persuades the wholesaler to carry the product, wholesaler convinces the retailer to sell and retailer again pushes the products to consumers. Personal selling is used in the push

strategy

- Pull strategy: in this, promotional program is directed at customers. When customer demand the product, the retailers plan the order to wholesalers who plan the order to manufactures.

Push and Pull strategy

Push Strategy



Pull Strategy



a) Advertising

- Advertising is a promotional activities which aims to sell a product or services to a target audience.
- Advertising transmits a standard message to a large number of potential customers.
- It is a paid communication because the advertiser has to pay for the space or in which his advertisement appears. Therefore advertising adds the unit cost of the product
- It involve a variety of media including radio, television, newspaper, magazines, motion pictures, brochures and booklets, posters and leaflets, audio-visual materials, symbols and logos etc.

Features/nature of advertising

1. Mass communication: advertising aims to communicate to the large target audiences at a time, so it is a mass communication media.
2. Informative in action: advertising aims to disseminate (spread) adequate information to the listeners, readers, viewers about several aspects of the firm and its products or services. Such as price, features, uses, name of the producer etc.
3. Persuasive: advertising aims to persuade people to buy the product or service. It contains persuasive language. The persuasive act calls for the logical process, which is called as AIDA.

A - drawing **Attention**

I - creating **Interest** in the consumer's mind

D - arousing **Desire** for the intended product and

A - converting desire into **Action**.

4. Competitive act: competition is very keen in the market in terms of quality, performance, service and price. Every marketer wants to win the competition, so

advertising is used as a competitive weapon these days.

5. Paid form: advertising cannot be done at free of cost, it involves certain cost (charge). The charge paid determines the attributes of the advertising. These charges are different from media to media.
6. Identified sponsor: either producer himself or dealers on behalf of the producers sponsor each advertisement. The identity of sponsor is known through his name, logo or brand. The advertiser does not want to hide his name because it is a matter of public relation.
7. Non-personal presentation: the advertiser does not make face-to-face contact to the target customers to communicate them about company's message. He uses convenient and viable media to communicate his message. So advertising is a non personal communication.

Objectives of Advertising

1. Introduce a product: advertising is most commonly used for the introduction of a new product in the market. It does not matter that there is a new or existing company they all need advertising to launch their new product.
2. Spreading awareness: advertising aware people about new or existing products and services in the market that will accomplish their need. A typical advertisement will tell you what the service or product is, where it can be bought, for how much, by whom, why it should be bought so on.
3. Maintains the existing market: a forward looking company always has its eyes on future business prospects that it cannot lose the place in the current market position. A company's success is shown not only in creating a market but also in its maintaining and expansion as per the changing environment.
4. Acquiring customers: the objective of advertising is not only to introduce the product or create awareness about a new product but also to acquire more customers for

company growth. This is not a easy task because they are already habitual to other products. So the advertiser has to pass a strong message to the customer to switch their brands.

5. Value creation: creating value is not a easy task. It requires time and a lot of effort from the company. The company can sell out their product with the help of advertisement. But a company that provides a quality product at minimum price can create its value in front of its customers.

Media of advertising

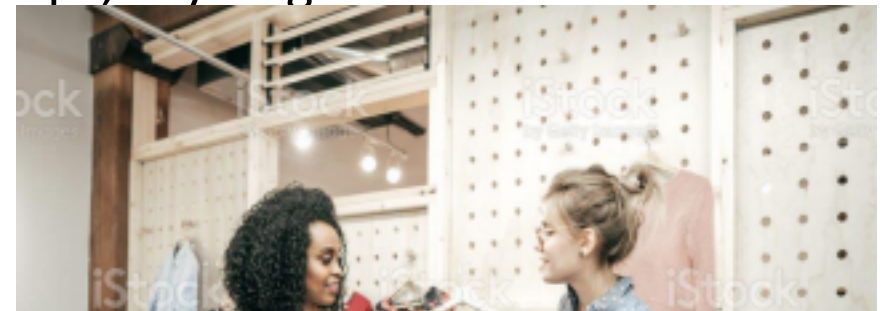
1. Broadcast media: TV and Radio- Television and Radio have become a very important tool to advertise for companies. ~~TV channels~~ and Radio programs are classified as news, sports, knowledge, entertainment, movies, kids etc. This helps advertisers to pick and choose the programs. Advertising slots are sold by broadcasting companies and channels based in popularity of TV shows and Radio programs.
2. Print media: advertising media like newspaper, magazines, leaflets, brochures, billboards, direct mail and other print publications come under print media. With the massive reach of print

media, it become popular tool for advertising.

3. Online media: people are connected to the internet through social media, website browsing etc. This gives an opportunity to companies to use this advertising media and provide to customer using online advertising.
4. Outdoor media: this is basically useful in capturing those customers who are travelling form one place to another. This gives an opportunity to companies to use outdoor advertising media to create brand awareness by putting large bill boards and hoardings above buildings, near streets etc. to give maximum visibility.
5. Mobile: mobile is an advertising media helps to reach out to customer by promoting messages through SMS, social media chat groups etc.
6. Specialty media: these consist of items that are given away to the consumer on which the name of the company or brand is printed so that more people get to know about it. For example, carry bags, membership cards, free merchandise like cups, key rings etc.

b) Personal selling.

- Personal selling is a face-to-face selling technique by which a



salesperson uses his or her interpersonal skills to persuade a customer in buying a particular product.

- It provide individual attention for each consumer and passes along a lot of information.
- Features/nature of personal selling:
 1. Personal form: personal selling as the name suggest is personal in nature. Both salesperson and possible buyer face each other or talk though phone and the internet.
 1. Development of relationship: personal relationship is instantly established between the possible buyer and sales person in personal selling as it is a two way communication.
 2. Flexible: it is flexible in nature. Salesperson can tailor his/her marketing message as per the need and behavior of possible buyer.
 3. Oral communication: personal selling usually adopts oral means of communication. The communication between them is carried out regarding the various aspect of products.
 4. Real sale: it is not only informs the possible buyer about the products, in most of the cases actually sell them. So, it is highly effective in nature.

Process of personal selling

The Indoor sales process: in this types of selling, customers come to the store, select the desired goods, purchase and return back home. It consists of the following steps:

1. Drawing attention of the customers: towards the store by the means of beautiful signboard, attractive decoration, attractive displays of goods in the store and other techniques.
2. Reception: after attention, customers enter into the store. Then the salesman should welcome and receive them with pleasure and good manner. Every salesmen must know the facts that 'First impression is the last impression'.
3. Inquiry: after welcomed, the salesman should make inquires with the customers politely and their desires and requirements. The salesman must be prepared to provide all the services required by the customers.
4. Demonstration of goods: the salesman should demonstrate and introduce all possible or

available goods of varied brands and quality without any hesitation. The comparative merits and demerits of the alternative products must be mentioned during the demonstration of the goods.

5. Handling objections: while demonstrating goods, the customers may put forward several questions and objections regarding the quality and features of the goods. The salesman should give tactfully answer all their questions without any hesitation.

6. Selection of goods: during the period of product selection, the salesman should fully cooperate with them to make them feel that the selection made by them is correct and appropriate because those customers who make the wrong selection will be dissatisfied.

7. Closing the sales: after the final selection, the customer will make the payment and purchase the goods. Before the customers exit the store, the salesman should provide additional information about the new product that may come in future.

The Outdoor sales process:

1. Prospecting: first step is to develop a list of qualified customers. Qualified customers are those who have a need or want for the product or service, the money to buy it

and the authority to make a buying decision. The sources of prospects include newspapers, trade publication, personal observations, family and friends etc. through with the sales person prepare the list of qualified prospects.

2. Pre-approach: in this step, additional information on prospects will be collected and the best method of approaching the prospects will be designed, which can make selling more effective. (information about hobbies, income, age group, education, purchasing pattern, culture of the customers etc.)
3. The approach: approach to gain customers' attention and interest so that they will want to see the presentation. In this step, the sales person meet the prospects buyers and introduces self, the company and the product.
4. Product presentation: in this step, the sales person will demonstrate the product or service before the prospects. The customers will look at the product or service and carefully evaluate their uses and benefits.
5. Meeting objections: during the product demonstration process, the customers may put several objections before the salesperson regarding the quality, uses and benefits of the product or service. Such objections should be handled by the salesperson so that

the customers become more confident and satisfied with the product.

6. Closing the sales: when the customers make a purchase of goods or services, the purpose of the salesperson is attained, the selling process will be closed. While closing sales, the salesperson may try to know about the special choice and preference of the customers to make the future sales easier and effective.
7. The follow-up: before departure, the salesperson should resolve any problems that the customers might have faced and answer any question. Effective handling of the follow-up helps to ensure customer satisfaction.

c) Sales promotions

- Sales promotion is a marketing technique used by organization to stimulate consumer demand for a product or service. This can include discounts, coupons, contests, samples, or any other type of incentive that encourages people to purchase a product or service.
- All the short term ways or methods devised for creating demand are called sales promotion.



- **Nature of sales promotions:**

- Short term in nature: (a day to week to maximum of three months)
- Provide incentives: (free gift, free sample, price off, contain more products in the package than before, coupons for bulk purchase etc.)
- Aims to quick response: promotion tools are offered for short period, if the marketer fails to receive quick response from the customers, then these tools are not effective.
- Primarily directed at the target audience: sales promotions are always directed at target audience, who consume goods, traders who resells goods and sales force who helps in personal selling.

Objectives of sales promotions

- a. To attract new customers who have not use company's products before.
 - b. To reward loyal customers for their loyalty and thus maintain market.
 - c. To increase perception of brand differentiation in markets where products are basically similar.
 - d. To encourage impulse (sudden desire) purchases
 - e. To create excitement among the consumers towards the products f.
- To promote off-seasons product.

Sales promotion tools and techniques (types) • There are 3 tools of sales promotion i.e. consumer promotion, trade promotion and sales force promotion

1. Consumer promotion tools: when sales promotion tools are directed at final consumers, they are known as consumer promotion tools.

- a. Price off promotion: it involve temporary price reduction which may be printed in the

package also. Like save Rs 5

b. Rebate: it is a price reduction to include immediate purchase, to sale off season products. Eg. if a customer purchases 1,000 units of product, then they can claim a 5% rebate. This would be a volume incentive rebate

c. Coupons: it is a small piece of paper that allows one to get a service or product for free or at a lower price. Coupons may be inserted into the package or it may be made available upon the purchase made in specific occasion.

d. Samples: free merchandise or services are given to the consumers for trial generally for new items. It may be provided only to those customers who actually make purchase. e.

Prizes: sometime prizes are offered to customers on the basis of contests or games. Prizes are offers of the chance to win cash, trips or merchandise as a result of purchasing something. f. Product warranties: warranty is an assurance to the consumers that the product will do what it is supposed to do for a specified time period, during which the manufacture provides services free of charge.

g. Trade shows and exhibitions: sometimes many producers organize trade show and exhibition for consumers especially for the promotion and sales of consumer product and

home appliance.

2. Trade promotion tools: when sales promotion tools are directed at resellers, or channel member, they are known as trade promotion tools.

- a. Sales contest: in this method, a trader causing highest sales is awarded cash prize.
- b. Credit facilities: in order to help the resellers in making better and increased sales, a manufacturer sometimes provide special credit facilities to the traders. When the trade become successful to sales increase this facility are withdrawn.
- c. Cooperative advertising: to promote the manufacturer's brand, the manufacturer and the wholesaler or the retailer jointly sponsors advertising. Manufacturer provide fund for this.

3. Sales forces promotion tools: sales force is the staffs or sales staff appointed by the manufacturer to sell manufactured products to the resellers and customers through personal selling. when sales promotion tools are directed at sales force, they are known as sales forces promotion

- a. Sales contest: in this method, a sales personnel causing highest sales is awarded cash prize, or gifts or trips inside or outside the country.

b. Bonus and commission: some companies induce bonus and commission to the sales personnel who result maximum volume of sales over a specified time period. c. Gift items: in order to motivate them the company provides some gift items like pen, diary, calendar etc. to them time to time

d. Trade shows and conventions: when trade fair and exhibitions is organized, interested companies participate it and sales personnel display the products beautifully, maintain customer contacts, introduce new product, distribute publications and help to increase sales. For these effort they get extra remuneration from the company.

d) Public Relations (PR)

- Public relations (PR) is **a set of marketing and communication methods** that helps an organization build, manage and maintain relationships with its publics.
- Public relation is the management of communication about a product, brand, idea, company or individual to influence public perception.

- Public relation is not used to encourage or to provide incentives, its more just to manage company's image, just about trying to create a positive image for company or a product.
- In other words, Public relations is a strategic communication process that builds mutually beneficial relationships between organizations and their publics.
- This communicates true information to customers, distributors, employees, local communities, suppliers etc. about the company and its programs through different media.

Nature of public relations

1. Public relation is done by providing information.
2. Disseminate as much information as possible to the press and other forms of media inside and outside the country.
3. Encourage visitors to visit to the firm because it is another valuable way of obtaining publicity.

4. Take an active interest in problems of pollution, education, ecology, labor relation, providing donation.
5. Offer sponsorships to the special events or programs like, conferences, anniversaries, sports, contests, exhibition etc. These efforts can draw attention of the majority of the people.
6. Initiate marketing research to create new ideas that may help becoming more familiar with the target markets.

Objectives of public relation

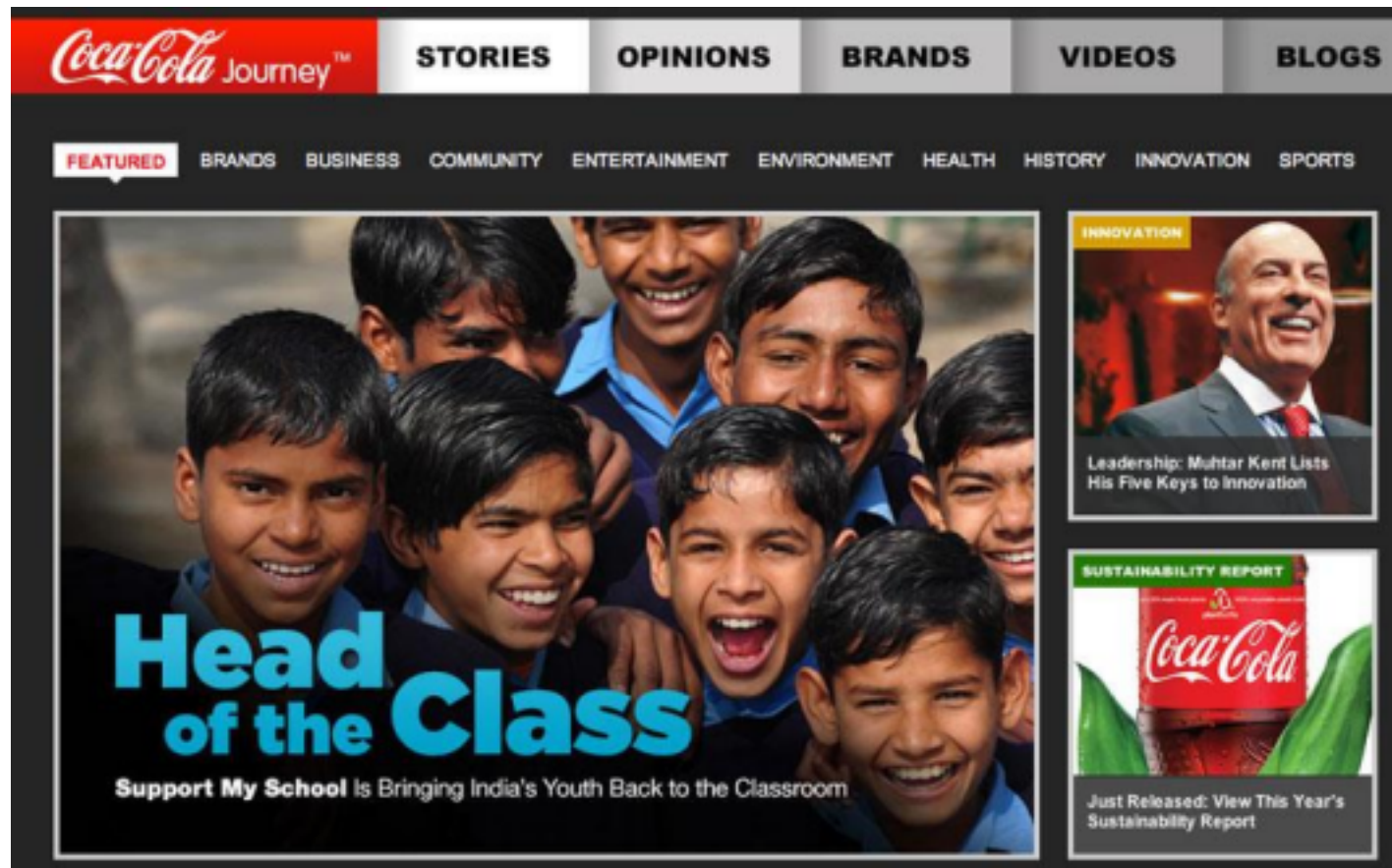
- a. Build awareness: through good PR can be attracted towards the company product, service, organization and ideas.
- b. Build credibility: PR can add creditability of the company and its products through proper communication of message in various promotional media.

- c. Stimulate sales force and dealer: by establishing a good relation with the sales force and dealers, the company can stimulate them in making more in the market.
- d. Hold down promotion cost: a well organized company does not need to spend more money in advertising, sales promotion, publicity, because company can easily win the mind and confidence of the public. So it helps to reduce cost of promotion.

Tools of public relations

- Special public events: sports, cultural programs, contests, grand opening, society aiding programs
- Press conferences
- Newsletters: published means or bulleting issued periodically to the customers, members of the society or other organizations

- Product publicity
- Corporate communication
- Press tour- inviting all journalists to visit the company



Public Relations:

Coca Cola has been donating to the community where its beverage is located. The company has worldwide campaigns that supports the locations it is marketing to such as India. India youths does not get education if you are not wealthy, it has been a debate and problem for a ongoing period of time.

e) Direct Marketing

- Direct marketing is a type of marketing that involves communicating directly with customers and potential customers in order to promote products and services. Direct marketing can be conducted in various ways, including email, text messages, catalogs, phone calls, and direct mail.
- It is done without middlemen.

Methods of Direct Marketing

- a. Direct mail marketing: it involve sending an offer, announcement, reminder or other items such as letters, brochures and even the product sample to a person and ask him to purchase by mail or telephone.
- b. Direct selling: it is selling goods to the customers through direct personal contact or face-to-face contact.
- c. Catalog Marketing: in this method, companies may send or mail full-line merchandise catalogs, especially consumer catalogs and business catalogs in printed form to consumers or make them available at retail stores to facilitate selection of goods.
- d. Telemarketing: it involves the use of telephone call centers to attract prospects, sell to existing customers and provide service by taking orders and answering questions.
- e. Televised shopping: under this method, television channels and shows are used to describe about the product, display the use of the product with direct response and request the TV audience to buy the product or to send orders for the product.
- f. E-marketing: it is the application of a broad range of information technology, particularly

internet for transforming traditional marketing activities.

- g. Kiosk marketing (vending machine): it refers to computer linked vending machines and customer order placing machines, which are placed in stores, airports and other locations.

Relevance/benefits of Direct Marketing

- **Benefit to customers:**

- Convenient shopping: home shopping is really a fun, convenient and tension free.
- Saves time: it is for busy customer
- Larger selection of merchandise: compared to shopping at retail shop, customers get larger selection of merchandise while buying through tv or internet.
- Sufficient information about products
- Heavy discount on goods: during the special occasion, customers get heavy discounts on that product, which becomes cheaper than buying at retail shops.

- **Benefits to sellers:**

- Detail information about market: through the help of direct channel sellers get detail information about marketplace and valued customers.
- Builds long-term relationship: it maintain long term harmonious relationship with the customers because sellers may send to customers the birthday card, information materials to select the customers. In return the customer also may response in the same manner.
- Minimizes expenses: because it does not cost any extra expenses to the seller.

Promotion practice in Nepal

- 1) Promotion objectives: the main objective of promotion in Nepal is achieving immediate sales increase. Promotional activities are targeted for providing information and building awareness to prospective buyers.
- 2) Promotion mix:
 - a) Advertisement: Nepalese organization use advertising frequently. It is becoming more popular communication methods in Nepal. Nepalese marketers are variety of advertising media which are as follows:
 - Print media: Nepal has thousands of newspapers and magazines with a total circulation of about

more than million copies. The Himalayan Times, Gorkhapatra, Kantipur etc. are the most popular national daily for advertising.

- Visual media: billboards, posters, electrical display, wall painting etc. are getting in urban area. The use of these media for promotion is increasing now a days.
- Audio media: the oldest audio media is Radio Nepal, which reaches most part of Nepal. Now many local FM radios are established, which is one of the most effective medias for advertisement in Nepal.
- Audio-visual media: Nepal Television and other private Television channels which has made audio

visual advertising effective. b) Sales promotion: the popularity of sales promotion has increased over the last 25 years in Nepal. It is highly used by noodle, tea, soap, electronic items etc. Consumer contest, cash prize, discounts, coupons, gift items etc. are the most popular sales promotion techniques in Nepal.

c) Personal selling: it is being used by firms to maintain relationship with customers. Most of private colleges collect the students by personally persuading them in Nepal.

d) Publicity and public relation: publicity is being slowly used by the organizations

with regular publication of corporate and new product reports in newspaper and magazines. Many business organizations have been sponsoring many events.

3) Promotion budget: Nepalese firms allocate their budget based on 'affordable' method. It is perceived that spending money on advertisement is expenses rather than investment. In Nepal, only some of the leading companies such as Surya Nepal, Nepal Lever, Asian Thai Foods, Coca-cola, cement company, insurance company etc. have understood the value of advertising.

Questions

- What is advertising?
- What is promotion?
- List out any two promotional tools.
- Enlist the objectives of advertising.
- Give the meaning of personal selling.
- Point out some tools and techniques of sales promotions.
- Define public relation.

- Mention some methods of direct marketing.
- Explain the process of personal selling. (5)
- Define promotion. Explain its objectives. (5)
- What is direct marketing? Explain its methods. (5)
- Examine the promotion practices in Nepal. (5)
- What factors affect in the determination in the selection of promotional tools? Explain, (10)
- What is sales promotion? Describe the sales promotion tools. (10)
- 'Advertising is the methods of educating customer'. In the light of this statement explain the objective of advertising. (10)